

CHAPTER 5

MAKING YOUR FORTUNE IN INVESTMENTS

From every corner and every angle, the typical investor is urged to make a move.

“The train is leaving the station,” say the brokers. “You have to act fast.”

“This is an urgent opportunity,” the promoters tell you. “You need to react now.”

Twenty-four hours a day, seven days a week, come the financial updates. Each one screams out for action. Buy! Sell! Do something!

And everybody knows you have to be decisive if you’re going to make any money by investing. “You snooze, you lose,” they tell you. “You’ll miss the opportunity,” they warn. “I can’t hold this open for you—are you in or out?”

Investment firms often have a “sucker list.” It is a list of people with money but not much investment experience. So when they are told they need to “act fast,” they believe it. You don’t want to be on that list.

So the next time a broker tells you that you have to make a decision, tell him you’ll get back to him—next year!

The typical investor believes he has to make his decisions quickly. And he thinks he could do much better if he only had more time to devote to his investments. He imagines the successful professional, glued to his computer screen, keeping an eye on the markets on a full-time basis, reacting to the news, taking his investments seriously.

Actually, nothing could be further from the truth. Serious Old Money investors barely follow the news and never react to it. They know that the really important trends take years to develop and then many years to play